SWOT Analysis

Exam code: 9BS0

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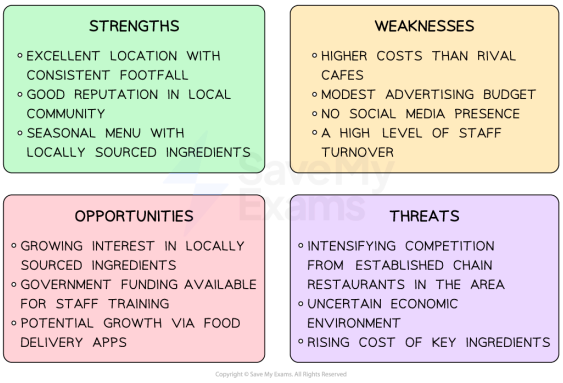
Updated on 4 September 2025

Understanding SWOT analysis

- SWOT analysis is an analytical tool used by businesses to identify:
  - Internal **strengths** and **weaknesses**
  - External **opportunities** and **threats**

An example of a SWOT analysis for a café business



An example of a SWOT analysis for a small café business, showing its internal strengths and weaknesses as well as external opportunities and threats

- Once a SWOT analysis has been completed by a business, decisions can be made to improve performance:
  - Strengths should be **harnessed**
  - Weaknesses should be **eliminated**
  - Opportunities should be **seized**
  - Threats should be **mitigated**
- An effective SWOT analysis can help senior managers **understand the current business position** so that **appropriate strategic decisions** may be made

Examples of factors considered in a SWOT analysis

Strengths	Weaknesses

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

For example: • Qualities that separate the business from its rivals • Internal resources, such as skilled staff or a particular **innovation** • Possession of assets, such as capital, **patents** or **intellectual property** • A loyal customer base • Effective leadership	○ Ways in which the business lags behind competitors ○ Resource or capital limitations, including labour and finance ○ Lack of a competitive advantage ○ Lack of a **unique selling proposition** ○ Poor online presence
Opportunities • **Options a business may exploit to enjoy further success** For example: ○ Developing markets for specific products becoming apparent ○ Few competitors existing ○ A changing legal or political environment positively impacting the business's processes and decisions ○ Social or **technological developments** creating an emerging need for the business's products ○ Economic indicators becoming more favourable ○ The potential for positive media coverage	**Threats** • **Hazards that have the potential to damage business performance** For example: ○ New or emerging competitors **gaining market share** ○ A changing legal or political environment negatively impacting the business's processes and decisions ○ Social or technological developments threatening the **obsolescence of products** ○ Economic indicators becoming less favourable ○ Negative press coverage ○ Changing customer attitudes towards the business

Examiner Tips and Tricks

A SWOT analysis will vary significantly for businesses of different sizes, with different objectives and operations in different sectors.

strategic and/or tactical decisions to achieve corporate objectives (see subtopic 3.1.2).

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